THE NATIONAL COMPANY LAW TRIBUNAL, COURT-V, NEW DELHI
Company Application No. **CA (CAA) 60 (ND) of 2020**

Under Sections **230-232** and other applicable provisions of the Companies Act, 2013 read with Companies (Compromises, Arrangements and Amalgamations) Rules, 2016

In the Matter of:
ALANKIT ASSOCIATES PRIVATE LIMITED,
205-208, Anarkali Complex,
Jhandewalan Extension,
New Delhi-110055.

Transferor Company No.1/ Applicant No. 1

AND

KUBER RECYCLE PROJECTS PRIVATE LIMITED,
205-208, Anarkali Complex,
Jhandewalan Extension,
New Delhi-110055.

Transferor Company No.2/ Applicant No. 2

WITH

ALANKIT FINSEC LIMITED,
205-208, Anarkali Complex,
Jhandewalan Extension,
New Delhi-110055.

Transferee Company/Applicant No. 3

Order Delivered on: **11.09.2020**

Coram:
Hon'ble Abni Ranjan Kumar Sinha, Member (J)
Hon'ble K.K. Vohra, Member (T)

Present:
For the Applicant: Ms. Rekha Mittal, Company Secretary

ORDER

Per: K.K. Vohra, Member (T)

1. This is an Application which is filed jointly by the Applicant Companies named above under section 230-232 of Companies Act, 2013 (the Act) and other applicable provisions of the Act read with Companies (Compromises,

Arrangements and Amalgamations) Rules, 2016 (the Rules) in relation to the Scheme of Arrangement by way of Amalgamation (Scheme) proposed among the Applicants. The said Scheme is also annexed as Annexure "A-5" to the Application. The Applicants have sought, interalia, following reliefs:

a. Dispense with the requirement of convening meetings of Shareholders of the Transferor Companies No. 1, 2 and the Transferee Company.
b. Dispense with the requirement of convening meetings of Un-Secured Creditors of the Transferor Company No. 2 and the Transferee Company. Transferor Company No. 1 does not have any Unsecured Creditors. None of the Transferor Companies and Transferee Company has any secured creditors.

2. Affidavits in support of the above Application sworn for and on behalf of the Applicant Companies by Mr. Alok Kumar Aggarwal has been filed, being the Authorized Signatory along with the Application. It is represented that a Joint Application filed by the Applicants is maintainable in view of Rule 3(2) of the Rules and it is also represented that the registered offices of the Applicant Companies are situated within the territorial jurisdiction of this Tribunal.

3. The Applicant No.3 is a **Non-Banking Financial Company**. One Director in Applicant Company 3 is common with Applicant Companies 1 and 2.

4. The Applicants have furnished the details of the Shareholders, Secured Creditors and Unsecured Creditors in the Scheme as on date as follow:

S. No.	Company	Shareholders	Secured Creditors	Unsecured Creditors
1.	Applicant No.1	07	NIL	NIL
2.	Applicant No.2	02	NIL	01
3.	Applicant No.3	07	NIL	05

5. The Applicant Companies contend that all the equity shareholders have given their consent for the Scheme and necessary affidavits have been filed and seek dispensation from convening and conducting the meetings of the shareholders. The Applicant Companies plead that there is no need to conduct meetings of the Secured Creditors as all the three Applicant Companies have 'NIL' Secured creditors. The Applicant Companies further

-Sd/-

plead that there is no need to conduct meeting of the Unsecured Creditors as there is 'NIL' Unsecured Creditor in Applicant No.1 and the sole Unsecured Creditor of Applicant No. 2 and all the 5 unsecured creditors of Applicant no. 3 have given their consent by way of affidavits for the Scheme and the affidavits have been filed.

6. Capital structure of the Companies is as follows:

S. No.	Company	Date of incorporation	Authorized Share Capital (Rs)	Issued, paid up and subscribed share capital (Rs)	CIN No.
1.	Applicant No. 1	10.03.2011	Rs. 35,00,00,000 divided into 3,50,00,000 Equity Shares of Rs. 10 each	Rs.22,60,00,000 divided into 2,26,00,000 Equity Shares of Rs. 10 each	U651 00DL 2011 PTC 215556
2.	Applicant No. 2	15.10.2008	Rs.10,00,000 divided into 1,00,000 Equity Shares of Rs. 10 each	Rs. 10,00,000 divided into 1,00,000 Equity Shares of Rs. 10 each	U741 10DL 2008 PTC 184268
3.	Applicant No. 3	30.05.1995	Rs.27,00,00,000 divided into 2,70,00,000 Equity Shares of Rs. 10 each	Rs. 27,00,00,000 divided into 2,70,00,000 Equity Shares of Rs. 10 each	U748 99DL 1995 PLC 069212

7. All the Applicants have filed their respective Memorandum and Articles of Association inter alia delineating their object clauses as well as their last available Audited Annual Accounts for the year ended 31.03.2019. Main object of Applicant No.1 and 3 is related to finance business; however, applicant no. 2 is in recycling business. It is seen from the records that all the three companies have commonality of directors.

8. The Board of Directors of the Applicant Companies have unanimously approved the proposed Scheme on 02.12.2019 and copies of resolutions passed thereon have been placed on record.

9. The appointed date as specified in the Scheme is 1st April, 2019 subject to the directions of this Tribunal.

-Sd-

10. The Applicant Companies have stated in the Application that no investigation proceedings are pending against them under Sections 210 or any other applicable provisions of the Act.

11. The Applicant Companies have filed certificates dated 11.04.2020 regarding compliance with various provisions of the Act. However, specific compliances with the accounting standards **under section 133 in pursuance of Section 230(7) and 232 (3) of the Act, has yet to be filed.**

12. The Valuation Report dated 24.11.2019 prepared by Me. Pankaj Gupta, Registered Valuer has also been placed on record. It is represented that the share exchange ratio is based upon Net Value of Assets Method on financials of the company for the year ending on 31.03.2019.

13. A preliminary perusal of the financials of the Applicants reveals that:

- In case of applicant no. 2, there is a gain on sale of investments to the tune of Rs. 72.45 lakhs during the F.Y. 2018-19 as compared to nil gain in previous F.Y.
- Current investments as on 31.03.2019 indicate the amount of Rs. 6.46 crore as compared to Rs. 5.78 cr on the previous year end. Further, the market value of these quoted investments is stated to be Rs. 22.71 cr.
- In the case of applicant no. 3, inter-corporate loans (short term borrowings) have been reduced to Rs. 10.54 cr as on 31.03.2019 as compare to Rs. 17.90 cr as on previous year end (Vol II, page 286). Further, short term loans (Assets) stood at Rs. 2.70 cr as on 31.03.2019 as compared to Rs. 39. 06 cr as on the previous year end.

14. A prayer has been made for dispensation from holding and convening shareholder meetings of both Companies on the ground that the shareholders have given their written consent in favour of the Scheme. Heard the submissions of the Ld. Counsel for the Applicant Companies. In terms of section 230 of the Companies Act, 2013, there are no enabling provision to dispense with the meetings of shareholders. In terms of Section 230(9) of the Act, the meetings of the creditors can be dispensed.

15. The same view was adopted by Principal Bench of NCLT in various matters including *Jachana Estate Private Limited and Ors. CA. CAA. 81(PB) 2019* in which prayer was made in application for dispensation of meetings. However, directions were issued for convening of meetings vide order dated 15.05.2020. A special Bench of NCLT New Delhi vide order dated 19.06.2020 in matter of *Lifestyle Magazines Pvt Ltd and Ors, CA. CAA. 40*

(ND)/2019 has also expressed the same view.

16. Therefore, in light of mandatory statutory provisions of Section 230 of the Act, we are not inclined to dispense meetings of shareholders of any of the three applicant companies. In respect of secured creditors, since there is no secured creditor in any of the companies, the prayer for dispensation is allowed. In relation to the unsecured creditors, the applicant no.1 has no unsecured creditor, there is one unsecured creditor with applicant no. 2 and there are five unsecured creditors with applicant no. 3, consent affidavits of whom have been placed on record; hence, the prayer for dispensation is allowed.

17. This Tribunal issues the following **directions** with respect to calling, convening and holding of the meetings:

A) Applicant Company No. 1:

(i) With respect to Equity shareholders:

The Meeting of the shareholders of the applicant no.1 shall be convened on **19.10.2020** at 10:00 am at 205-208, Anarkali Complex, Jhandewalan Extension, New Delhi-110055. The quorum of the meeting shall be 5 in number or 75% in value.

(ii) With respect to Secured Creditors:

Since, it is represented that there are no Secured Creditors, the necessity of convening a meeting does not arise.

(iii) With respect to Unsecured Creditors:

Since, it is represented that there are no unsecured creditors, the necessity of convening a meeting does not arise.

B) Applicant Company No. 2:

(i) With respect to Equity shareholders:

The Meeting of the shareholders of the applicant no. 2 shall be convened on 19.10.2020 at 11:00 am at 205-208, Anarkali Complex, Jhandewalan Extension, New Delhi-110055. The quorum of the meeting shall be 2 in number or 75% in value.

(ii) With respect to Secured Creditors:

Since it is represented that there are no Secured Creditors, the necessity of convening a meeting does not arise.

(iii) With respect to Unsecured Creditors:

It is represented by the Company that there is one Unsecured Creditor whose consent has been obtained. Hence, the request for dispensing with the meeting is accepted.

C) Applicant Company No. 3:

(i) With respect to Equity shareholders:

The Meeting of the shareholders of the applicant no. 3 shall be convened on 19.10.2020 at 12:30 PM at 205-208, Anarkali Complex, Jhandewalan Extension, New Delhi-110055. The quorum of the meeting shall be 5 in number or 75% in value.

(ii) With respect to Secured Creditors:

Since, it is represented that there are no Secured Creditors, the necessity of convening a meeting does not arise.

(iii) With respect to Unsecured Creditors:

It is represented by the Company that there are five Unsecured Creditors and consent of all five unsecured creditors have been obtained. Hence, the request for dispensing with the meeting is accepted.

D) The applicant companies may organise the aforementioned meeting through Video Conferencing with remote e-voting facility, in strict compliance with the circulars/guidelines issued by the MCA in this regards.

E) Mr. Reetesh Kumar Agarwal, CA (carkagarwal@gmail.com) is appointed as the Chairperson and Mr. Susheel Kumar Gupta (susheelgupta@hotmail.com) is appointed as the Alternate Chairperson and Mr. Rajan Das Gupta (rajandgupta@gmail.com) is appointed as Scrutinizer for the aforementioned meetings as directed to be convened.

F) In case the quorum as noted above for the above meetings are not present at the meetings, the meetings shall be adjourned by half an hour, and thereafter the persons present and voting shall be deemed to constitute the quorum. For the purpose of computing the quorum, the valid proxies shall also be considered, if the proxy, in the prescribed Form duly signed by the person entitled to attend and vote at the meeting, is filed with the registered office of the Applicant Companies at least 48 hours before the meetings. The Chairperson and Alternate Chairperson appointed herein along with scrutinizer shall ensure that

-Sd-

the proxy registers are properly maintained.

G) The fee of the Chairperson for the aforesaid meetings shall be Rs. 50,000 and the fee of the Alternate Chairperson shall be Rs. 40,000. The fee of the Scrutinizer shall be Rs. 40,000. All these fees will be in addition to incidental expenses. The Chairperson will file their reports within a week from the date of holding of the meetings.

H) Individual notices of the said meetings shall be sent by the Applicants through speed post and e-mail, 30 days in advance of the date of meetings, indicating the day, date, place and the time, together with a copy of Scheme, copy of explanatory statement, required to be sent under the Act. The prescribed Form of proxy shall also be sent along with any other documents as may be prescribed under the Act or Rules.

I) The Applicant Companies shall publish advertisement at least 30 days before the date of aforesaid meetings, indicating the day, date, the place and time as aforesaid, to be published in Delhi editions of 'Business Standard' both English and Hindi stating the copies of Scheme, the explanatory statement required to be furnished pursuant to Section 230 of the Act and the Form of proxy shall be provided free of charge at the registered offices of the Applicant Companies.

J) Voting shall be allowed on the proposed Scheme by voting in person, by proxy, through postal ballot or through electronic means as may be applicable for the respective meetings of the Applicant Companies under the Act and Rules framed there under.

K) The authorized representative of the Applicant Companies shall furnish an affidavit of service of notice of meetings and publication of advertisement and compliance of all directions contained herein at least a week before the proposed meetings.

L) All the aforesaid directions are to be complied with strictly in accordance with the applicable law including Forms and Formats contained in the Rules as well as the provisions of the Act by the Applicants.

M) Specific certificate for compliance with Sec 133 of the Act will be furnished.

N) The Application stands **allowed** on the aforesaid terms.

ISD

O) The Tribunal further directs the Auditors who have certified the compliance of Section 133 of the Act, Share Exchange Ratio and other financials (see para 13 also) will remain present at the time of hearing of second motion petition by this Court, for elaborating the details. The Applicants will also elaborate the rationale of the merger of companies engaged in diverse business (see para 7).

-Sd-

(K. K. VOHRA)
MEMBER (T)

-Sd-

(ABNI RANJAN KUMAR SINHA)
MEMBER (J)